

23.12 ELIGIBILITY CRITERIA FOR FOREIGN PORTFOLIO INVESTMENT IN INDIA

In this short section, we spell out some of the eligibility criteria to be considered a foreign portfolio investor. An individual must fulfil the following conditions to register as Foreign Portfolio Investor:

- The applicant must be a non-resident Indian as per the Income Tax Act 1961.
- The applicant must not be a citizen of a country that has been categorised under the public statement of FATF.
- The applicant is eligible to invest in securities of other countries.
- For investing in securities, the applicant must be authorized to do so by Memorandum of Association and Articles of Association Agreement.
- If the bank is the applicant, such a bank must belong to a nation whose central bank must be a member of the Bank for International Settlements.

Check Your Progress 4

- 1) Examine the numerous advantages of Foreign Portfolio Investment (FPI).

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- 2) Examine the various constraints and drawbacks associated with Foreign Portfolio Investment (FPI).

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- 3) Describe the prerequisites for qualifying as a Foreign Portfolio Investor (FPI).

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23.13 LET US SUM UP

This unit was concerned with foreign investment. Two types of foreign investment are considered: foreign direct investment and foreign portfolio investment. The unit discussed the concept of each and also brought out the differences between the two.

We saw that FDI is an important source of external private finance. The unit explained that FDI is a way of integrating international economics as it creates and promotes stable and long-lasting links between economies. It offers the following major benefits to economies: a) promotes international trade through access to foreign markets, b) facilitates the transfer of technology between countries, c) leads to economic development, and d) creates job opportunities. The unit carefully explained the concept of FDI, You were familiarised with the methods of FDI like Greenfield investment, mergers and acquisitions joint ventures and subsidiary arrangements. The unit further described the types of FDI and spelt out the advantages and disadvantages of FDI.

The unit then went on to discuss FPI. We saw that Foreign Portfolio Investment (FPI) is very important in modern economies that have sophisticated financial systems. FPI allows foreign parties to invest in financial assets and instruments in the host country. This has a positive bearing on the price of domestic assets. The unit explained the types of FPI and the difference between FDI and FPI. Following this the unit described the categories of FPI. The advantages and disadvantages of FPI were discussed. Finally, the unit discussed the eligibility criteria for FPI in India.

23.14 KEY WORDS

Automatic Route	:	It refers to the entry route through which investment by a person resident outside India does not require the prior approval of the Reserve Bank of India or the Central Government.
FPI	:	Foreign Portfolio Investments (FPI) refer to investments that are made in securities and other financial assets issued in another country.
Foreign Portfolio Investor	:	Foreign Portfolio Investor' (FPI) means a person who is registered by the provisions of the Securities and Exchange Board of India (Foreign Portfolio Investors) Regulations, 2019, as amended from time to time.
Government Route	:	Government Route refers to the entry route through which investment by a person resident outside India requires prior Government approval and foreign investment received under this route shall be by the conditions stipulated by the Government in its approval.

NSDL	:	National Securities Depository Limited. It facilitates monitoring of overall foreign investment limits as well as sub-limits that apply to NRI and FPI.
RBI	:	Reserve Bank of India. It plays an important role in regulating FDI in India. It provides for certain rules and regulations for FDI.
SEBI	:	Securities Exchange Board of India. SEBI provides guidelines for investments made in securities and other financial assets issued in another country.
NSDL	:	National Securities Depository Limited.
Foreign Portfolio Investor	:	Foreign Portfolio Investor' (FPI) means a person registered by the provisions of the Securities and Exchange Board of India (Foreign Portfolio Investors) Regulations, 2019, as amended from time to time.
Government Route	:	'Government Route' means the entry route through which investment by a person resident outside India requires prior Government approval and foreign investment received under this route shall be by the conditions stipulated by the Government in its approval.

23.15 SOME USEFUL BOOKS

- 1) Taxmann's FEMA & FDI Ready Reckoner with Guide to Overseas Investment, 18th Edition 2023
- 2) Foreign Direct Investment Statistics: How Countries Measure FDI 2001. (2003). United States: International Monetary Fund.

23.16 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) Foreign direct investment (FDI) can be defined as an investment made outside the home country where an investor resident in one country invests in another country in a way that establishes a long interest in and a high degree of influence over an enterprise.
- 2) Methods of Foreign Direct Investment (FDI): Greenfield Investment, Mergers and Acquisitions (M&A), Joint Ventures, Subsidiary Companies.
- 3) Various types of FDI are: Horizontal FDI, Vertical FDI, Conglomerate FDI, Platform FDI.

Check Your Progress 2

- 1) Routes of FDI: Automatic Route, Government Route
- 2) Advantages of FDI: FDI contributes significantly to the economic growth of the host country, FDI creates new jobs in the host country as foreign companies and foreign investors bring advanced technology, expertise, and management practices, It leads to an increase in exports from the host country as foreign companies, to attract foreign investments in the country etc.
- 3) Disadvantages of FDI: FDI may result in a loss of control over their domestic industries, a country may become vulnerable to economic fluctuations leading to economic instability, Foreign investors often take profits back to their home countries, FDI even results in environmental degradation as foreign investors etc.

Check Your Progress 3

- 1) FPI: FPI means any investment made by a person resident outside India through equity instruments where such investment is less than 10% of the post-issue paid-up share capital on a fully diluted basis of a listed Indian company or less than 10% of the paid-up value of each series of an equity instrument of a listed Indian company.
- 2) Differentiate between Foreign Direct Investments and Foreign Portfolio Investments: In FDI a direct business interest is established overseas whereas FPI is not a direct investment, FPI involves passive investors, and FDI is all about active investors etc.
- 3) Various categories of Foreign Portfolio Investment: There are three categories: Category I: This category is regarded as a low-risk category, Category II: This category involves a medium degree of risk, and Category III: This category is the riskiest among all.

Check Your Progress 4

- 1) Advantages of Foreign Portfolio Investment: It stimulates demand for companies' stocks, offers greater diversification to investors, benefits from fluctuations in exchange rates etc.
- 2) The various constraints and drawbacks associated with Foreign Portfolio Investment (FPI) are that it may destabilize financial markets and exchange rates, may lead to speculative behaviour in financial markets, may expose a country's currency to exchange rate fluctuations etc.
- 3) Prerequisites for qualifying as a Foreign Portfolio Investor (FPI): must be a non-resident Indian, must not be a citizen of a country that has been categorised under the public statement of FATF, if the bank is the applicant, such a bank must belong to a nation whose central bank must be a member of the Bank for International Settlements etc.